Central Bank of Armenia

2024 July

Transparency Report

Published July 30, 2024

Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

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Present at the meeting: Governor Martin Galstyan; Deputy Governor Armen Nurbekyan; and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Levon Sahakyan, and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the most recent CBA survey conducted on July 26, financial market participants expect the CBA policy rate to follow a gradual loosening path, consistent with the logic of prior policy actions.

On the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios are primarily related to the potential for a "higher for longer" interest rate environment in the United States, with implications on capital flows in emerging markets; worsening geopolitical tensions, both globally and regionally; uncertainty about the country risk premium in the context of the fiscal deficit and geopolitical tensions; risks to global trade and supply chains; high inflation expectations; as well as other risks and uncertainties. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include the risk for much weaker aggregate demand conditions; concerns about potential adverse developments in the real estate sector; continued growth in domestic labor supply; accelerating growth in investments, supported by the utilization of large accumulated savings in the real sector of the economy; the potential for a sharp slowdown in global demand; as well as other risks and uncertainties.

Against the backdrop of the broader set of risks, the Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision. These discussions took place in the context of "least regrets" decision-making, in terms of seeking to minimize potential losses that could arise from these scenarios materializing. Board members discussed uncertainties around US monetary policy. Given continued trends of high consumption-driven growth, above-target inflation, and persistent stickiness in wages and prices, several Board members emphasized risks of a "higher for longer" policy stance in the US. On the other hand, pointing to signs of gradual cooling in the US, Levon Sahakyan argued that possibilities of Fed rate cuts as early as September should not be ruled out. Regardless, all Board members emphasized that higher interest rates in the US would have implications on neutral rates both globally and in Armenia in the medium term. Armen Nurbekyan and Hasmik Ghahramanyan, in particular, emphasized that the significant uncertainty about the neutral rate has meaningful policy implications. Turning to US political uncertainty, Narek Ghazaryan argued that the outcome of the upcoming presidential election could have significant implications on global trade relations, commodity markets, and supply chains, posing serious inflationary risk. However, Levon Sahakyan noted that some of the more serious global risks to commodity prices are no longer as serious and have not necessarily translated into higher inflation for imported goods to Armenia.

Discussions then touched upon domestic economic developments. Board members noted that recent economic growth in May and June was somewhat more widespread than in prior months, with services rebounding and manufacturing somewhat slowing. However, Board members continued to express concerns about the structural characteristics of growth in recent quarters. Armen Nurbekyan and Martin Galstyan voiced worries about deeper, structural problems related to recent economic growth and implications on potential output. However, they noted that the monetary policy is not equipped with an effective toolkit to address these structural issues. Board members also noted that the high inflows of people and capital in recent years could have supported greater capacity-building in highly productive sectors, which would have had even more positive implications on medium- and long-term potential output. In this context, several Board members expressed concern that these opportunities were not fully taken advantage of in recent quarters.

Turning to the demand side of the economy, Board members noted mixed signals about the state of demand conditions. Davit Nahapetyan argued that external demand has been slowing, as evidenced by declining inflows of tourists as well as weak inflation for services such as restaurants and hotels. At the same time, Davit Nahapetyan and Levon Sahakyan also suggested that recent growth in air transport inflation was misleading, in that it most likely reflects supply-side issues, including the recent departure of an airline from the Armenian market, rather than growth in demand. Several Board members, including Armen Nurbekyan and Levon Sahakyan, also noted concerns about adverse developments in the IT sector, where both output and exports have declined in recent months in response to weakening external demand. They noted the potential risks this could pose to the economy's medium-term potential output.

Several Board members expressed concerns about recent developments in the labor market. Hasmik Ghahramanyan argued that the increases in unemployment in Q1, and successive slowing in wage growth, suggest that labor market conditions have begun to cool, reflecting the adjustment of the economy from previously observed positive gaps. Building on this view, Armen Nurbekyan expressed concerns that rising unemployment could also provide signals about an overall worsening in business and economic sentiment. At the same time, Levon Sahakyan pointed to concerns with household-survey based measures of unemployment and argued that considerable uncertainty remained about the state of the labor market. Moreover, considering some evidence of a recent outflow in foreign migrant workers, Martin Galstyan, Armen Nurbekyan, and Levon Sahakyan all suggested that risks of rapid increases in labor supply—which was discussed as a key Case B-type risk in the previous policymaking round—are no longer as relevant. Turning to inflation, several Board members, including Davit Nahapetyan, Levon Sahakyan, Hasmik Ghahramanyan, and Narek Ghazaryan, emphasized that inflation continued to remain well below the target, with few signs that it could accelerate at a rapid pace over the coming months.

Discussions also covered fiscal policy. All Board members emphasized the likelihood of greater fiscal expenditures in the context of the need for social assistance to forcibly displaced compatriots from Nagorno-Karabakh as well as the natural disasters in Lori and Tavush in May 2024. Hasmik Ghahramanyan noted that while it is difficult to accurately assessing the scale of the fiscal multiplier, these types of expenditures would nonetheless be expected to have quick inflationary implications, since they would likely be directed primarily to consumption. In this context, all Board members agreed that risks of revenue underperformance, coupled with the need for greater expenditures, could pose risks of a widening fiscal deficit, with implications on the country risk premium and consequently on the future path of policy. Armen Nurbekyan emphasized that the country risk premium for Armenia declined at a much slower pace than in other emerging market economies overall, which could reflect the implications of continued geopolitical tensions. Regarding the neutral rate, all Board members emphasized uncertainty surrounding the neutral rate. They emphasized that the uncertainty about the neutral rate required continued close monitoring, and this factor would weigh importantly in future policy decisions. In this context, certain Board members, including Levon Sahakyan, suggested the possibility that the policy rate could quickly be approaching, or already be in line with, the neutral rate.

Summarizing their views, the Board agreed that the greatest policy imperative lies in accurately assessing which types of risks are most relevant and dangerous in terms of their scale and impact on the economy, and what types of policy errors the Board is most focused on avoiding from a least regrets perspective. On the whole, the Board members were in unison that the risks in both directions were relatively balanced, necessitating the policy stance to continue to be gradually eased and a reduction of the policy rate by 25 bps in this decision round. From a Case A perspective, and as noted above, Board members emphasized risks of persistently tighter monetary conditions in key trading partner countries, as well as uncertainty related to the country risk premium and neutral interest rates stemming from both global and fiscal policy-related considerations.. On the other hand, Board members noted several Case B-type concerns, which primarily included risks of weakening domestic and external demand conditions; weakening growth in many sectors of the economy; and concerns about the global economic outlook.

One group of Board members (including Narek Ghazaryan, Levon Sahakyan, and Hasmik Ghahramanyan), in the context of somewhat recovering inflation and a policy stance that could be approaching neutral levels, placed somewhat greater emphasis on certain Case A-type considerations. Specifically, they emphasized the need to be prepared for future discussions about possible scenarios where policy may reach the end of the loosening cycle. However, in the current cycle, they still continued to emphasize balancing risks in both directions.

Another group, including Martin Galstyan, Armen Nurbekyan, and Davit Nahapetyan, viewed the existing risks as being mostly balanced, from the perspective of policy objectives. They emphasized that uncertainty surrounding certain economic fundamentals—including the higher country risk premium and the neutral rate on the one hand, and potential signals of decelerating economic growth and weaker demand conditions on the other hand—remained significant and could have important consequences on the future path of policy. In this context, they believed that a gradual easing of the policy stance would most effectively balance these risks in the current stage.

Given these discussions, the Board as a whole was in consensus that a balanced approach in the current policy round was most prudent to appropriately address both the Case A- and Case B-type risks that they underscored in their discussions.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

Balancing the aforementioned risks in both directions, the Board of the Central Bank of Armenia finds it appropriate to continue to gradually ease the policy stance and decrease the policy rate by 25 basis points in this policy round (see Table 1). The Board will continue to monitor risk scenarios, and stands ready to take adequate actions to ensure that the price stability objective of 4 percent inflation over the medium-term horizon is met.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
July 30, 2024 Decision

Board Member	Vote
Narek Ghazaryan	Decrease by 25 basis points
Levon Sahakyan	Decrease by 25 basis points
Davit Nahapetyan	Decrease by 25 basis points
Hasmik Ghahramanyan	Decrease by 25 basis points
Armen Nurbekyan	Decrease by 25 basis points
Martin Galstyan	Decrease by 25 basis points


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